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Impacts of the Retirement Savings for Americans Act

A Preliminary Analysis Using the RAND Budget Model

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Published by the RAND Corporation, Santa Monica, Calif.

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About This Report

This report provides an analysis of the Retirement Savings for Americans Act (RSAA) using newly developed budget analysis tools built by RAND researchers. The von Furstenberg Family Foundation RAND Budget Model Initiative differs from other legislative scoring initiatives, such as those from the Congressional Budget Office, in that it considers longer time horizons, allows for dynamic scoring, and explores alternative scenarios based on proposed legislation. This report will be periodically updated as new tools, methods, and policy scenarios become available. In particular, because the details of the underlying policy are subject to change, portions of this analysis may be overcome by events. This report should be of interest to legislators and policymakers, including their technical staff, as well as retirement savings specialists and industry leaders who are interested in understanding the potential impacts of the RSAA.

About RAND Education and Labor

This work was conducted within RAND Education and Labor, a division of RAND that conducts research on early childhood through postsecondary education programs, workforce development, and programs and policies affecting workers, entrepreneurship, and financial literacy and decision-making. For more information, visit www.rand.org/education-and-labor or email educationandlabor@rand.org.

Funding

This report was supported by the Diller-Von Furstenberg Family Foundation and Pershing Square Philanthropies.

Acknowledgments

We thank the many staff and colleagues at RAND who have helped usher this project forward. These include Grace Evans from RAND's Congressional Relations department, Michael Dworsky as a manuscript reviewer, Ben Master as quality assurance manager, Mirka Vuollo, who coordinated the quality assurance process, and an anonymous external reviewer.

Summary

The Retirement Savings for American Act (RSAA) would make available a portable, post-tax retirement savings account to working Americans otherwise not covered by an employer-sponsored retirement plan.¹ These accounts would include automatic enrollment and, for those who earn less than the median income, a contribution from the federal government equivalent to 1 percent of a person's annual income, plus as much as a 4-percent government match for participants who save 5 percent of their post-tax income.

Overall, we find that about 63 million workers (about 39 percent of the U.S. workforce) do not have access to an employer-sponsored savings account and, therefore, would be eligible for an RSAA account. Within that group, about 42 million workers (about 26 percent of the U.S. workforce) would receive federal matching funds. In practice, such an account would offer more benefits to younger workers because they are more likely to earn below the median annual earnings. As workers age, they are more likely to earn above median annual earnings, meaning their federal matching contributions would phase out; additionally, older workers are more likely to work for employers that offer retirement plans, meaning they would transition off the plan entirely.

Under an optimistic scenario, we estimate that an RSAA account would enable the lowest earners (those who consistently earn in the bottom 10 percent of the earnings distribution) to save approximately \$126,000 over a 40-year working career. Those who earned at the 50th percentile during their working career would be able to save \$585,000. Such a scenario assumes that all eligible workers participate, none of the money is withdrawn during the intervening 40 years, and that employers with existing retirement plans do not drop their plans in favor of the RSAA accounts. Under the same optimistic assumptions, we calculate a net savings to the federal and state governments of more than \$2 trillion from the RSAA accounts over a 40-year timespan. That is, we estimate the net costs to the federal and state governments for the RSAA accounts will be \$274 billion in the first ten years and almost \$1.5 trillion over 40 years, along with a reduction of more than \$3.6 trillion over those 40 years in government spending on Medicaid and Supplemental Security Income (SSI) for seniors.² A 40-year window allows us to understand the effects of the RSAA over a time horizon consistent with a full working career. Table S.1 presents the costs and outcomes from this baseline scenario and scenarios in which we explore the extremes of each of the key behavioral assumptions.

¹ U.S. House of Representatives, Retirement Savings for Americans Act of 2025, Bill 2696, April 7, 2025; U.S. Senate, Retirement Savings for Americans Act of 2025, Bill 1526, April 30, 2025.

² This analysis was conducted prior to the July 5, 2025, passage of the One Big Beautiful Bill Act, which included some changes to Medicaid costs that could affect these findings. Future iterations of this analysis will factor in any potentially relevant savings (see Public Law 119-21, One Big, Beautiful Bill Act, July 4, 2025).

Table S.1. Fiscal and Other Outcomes for Different RSAA Scenarios Compared with Current Law

Outcome	Baseline RSAA	Firm Crowd-Out	Maximum Contribution	Spend-Down
Firms drop current retirement plans	0%	100%	0%	0%
Individual contribution rate	3%	3%	5%	3%
Individuals withdraw funds before retirement	0%	0%	0%	100%
10-year estimates (in billions \$)				
Federal contribution costs	\$267	\$660	\$321	\$267
Interest costs	\$24	\$54	\$29	\$24
Total costs	\$291	\$714	\$350	\$291
Additional tax revenue	\$0	(\$83)	\$0	\$0
Medicaid for seniors ^a	(\$16)	(\$17)	(\$17)	(\$7)
SSI	(\$2)	(\$2)	(\$2)	(\$1)
Net cost	\$274	\$613	\$331	\$284
40-year estimates (in billions \$)				
Federal contribution costs	\$1,368	\$3,318	\$1,642	\$1,368
Interest costs	\$127	\$495	\$148	\$127
Total costs	\$1,495	\$3,813	\$1,790	\$1,495
Additional tax revenue	\$0	(\$409)	\$0	\$0
Medicaid for seniors ^a	(\$3,313)	(\$3,479)	(\$3,578)	(\$885)
SSI	(\$277)	(\$291)	(\$299)	(\$138)
Net cost	(\$2,095)	(\$367)	(\$2,088)	\$472
Individual RSAA assets after 40 years				
10th percentile earner	\$126,000	\$126,000	\$180,000	\$72,000
50th percentile earner	\$585,000	\$585,000	\$836,000	\$333,000

NOTE: Dollar values are all in nominal 2024 dollars compared with the status quo. Totals may not sum due to rounding. Parentheses indicate negative numbers.

^a Medicaid costs are split between the federal government and state governments based on the Federal Medical Assistance Percentage (FMAP). The FMAP ranges from 50 percent to 76.9 percent for the 50 states plus the District of Columbia (for U.S. territories, the range is 76 percent to 83 percent). Considering the dual-eligible population, the enrollee-weighted average for the 50 states plus the District of Columbia is 59 percent. Thus, we might expect 41 percent of the savings from the delayed enrollment in Medicaid among senior citizens to accrue to states rather than the federal government. Thus, a portion of the savings would accrue to state governments and not the federal government.

Because younger people disproportionately receive federal matching funds, the government contributions have many more years of growth than if they were distributed into the accounts of older people. In particular, after 40 years, less than 20 percent of the value of the accounts would be from the government matches, with the rest being either contributions from the individual

(20 percent or less, depending on the scenario) or gains over time (more than 60 percent, depending on the scenario).

By postponing the need for such safety net programs as SSI and Medicaid, both of which have asset thresholds for eligibility (individuals and households with more than the specified level of assets do not qualify for these programs), federal and state governments could realize billions of dollars in cost savings. Although asset tests for Medicaid differ by state, and California no longer has an asset test,³ population-weighted average asset thresholds are approximately \$4,000 today and are likely to be between \$11,000 and \$13,000 in 40 years based on an inflation rate of 2.5 percent to 3 percent. SSI asset tests are approximately \$2,000. However, because the RSAA would increase the assets of tens of millions of Americans, an RSAA account would delay a person's entry into such safety net programs as SSI and Medicaid until that participant spends down personal assets. **We find that the RSAA could reduce state and federal government spending on asset-tested programs by more than the program costs on an annual basis after 20 to 30 years, depending on the behavioral scenario, by delaying eligibility for SSI and Medicaid. Furthermore, the RSAA could be cumulatively net positive from a budgetary perspective after 30 to 45 years, driven primarily by delaying eligibility for Medicaid.**

However, we also find that the program's overall financial health is sensitive to key assumptions, including the potential for crowding out of firm retirement plans and, in particular, individuals' retirement savings spend-down rate. If RSAA participants spend-down their assets quickly in retirement, they would qualify for Medicaid earlier in retirement. This could result in the RSAA having positive net costs over 40 years.

Only a small portion of a hypothetical reduction in spending on such programs as SSI and Medicaid would be realized during the ten-year window that is typically used for budget scoring because the majority of the people receiving the funds will be decades away from retirement.

As seen by the differences between the scenarios presented in Table S.1, the expected cost and revenue from RSAA are sensitive to the behavioral assumptions. To explore these further, we conducted sensitivity tests with different values of key parameters (in Appendix B). Specifically, we looked at different levels of crowd-out that might be more realistic than either no crowd-out or full crowd-out, and also different rates of spend-down during retirement. Under a variety of scenarios with a range of reasonable assumptions, RSAA will result in net savings, counting both federal and state governments, but the levels vary substantially, and there are cases in which it does not. Regardless of the scenario, **individuals without employer-sponsored retirement plans in the status quo can be expected to have substantially higher retirement assets with RSAA.**

³ California's asset test was eliminated beginning on January 1, 2024. However, California Governor Gavin Newsom has proposed reintroducing the asset test (see Karen Garcia, "Gov. Newsom Proposes 'Asset Test' for Low-Income and Disabled Medi-Cal Applicants. What Does That Mean?" *Los Angeles Times*, May 30, 2025). We assume that all states, including California, have asset tests.

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Impacts of the Retirement Savings for Americans Act

Many recent studies have found that most Americans' retirement savings have not kept pace with their projected financial needs. For example, according to a recent AARP survey, one in five Americans older than 50 has no retirement savings,¹ while separate data from the Federal Reserve Board shows that, as of 2018, 25 percent of all workers had no retirement savings.² The problem is most acute for those at the bottom of the earnings distribution, lower levels of education, working in smaller businesses, and those with limited access to savings and wealth. Such a retirement savings gap puts workers' retirement security in jeopardy and may lead to additional hardship when they enter retirement age.³ Limited retirement savings may also cause workers to delay retirement. To be clear, Social Security provides an important safety net for retirees, but it was not designed to be a wholesale substitute for retirement savings. Instead, it was envisioned as one leg of a three-legged stool, with the other legs being pensions from employers and personal savings.⁴

A significant underlying driver of the retirement savings gap is the lack of workers' access to an employer-sponsored retirement plan. Nearly half of those working in the private sector—almost 56 million workers ages 18 to 64—lack an employer-sponsored retirement plan.⁵ Within the private sector, small businesses are much less likely to provide employer-sponsored programs. The smallest employers are the least likely to have a retirement plan. Nearly 78 percent of those who work in firms with fewer than ten employees and approximately 64 percent of companies with ten to 24 employees lack a plan. Even among large employers, those with 1,000 workers or more, more than 33 percent of workers do not have access to an employer-sponsored retirement plan. There are also differences by educational attainment: 75 percent of workers with less than a high school degree lack an employer-sponsored plan, as do 50 percent of workers with some college and 33 percent of workers with a bachelor's degree.⁶

¹ AARP, "New AARP Survey: 1 in 5 Americans Ages 50+ Have No Retirement Savings and Over Half Worry They Will Not Have Enough to Last in Retirement," press release, April 24, 2024.

² Division of Consumer and Community Affairs, *Report on the Economic Well-Being of U.S. Households in 2018*, Federal Reserve Board, May 2019.

³ Retirement consumption declines may occur for multiple reasons. One important one is the diminishing marginal utility of consumption at older ages (see, for example, Susan Rohwedder, Michael Hurd, and Péter Hudomiet, *Explanations for the Decline in Spending at Older Ages*, National Bureau of Economic Research, Working Paper No. w30460, September 2022). Those at the bottom of the earnings distribution are the most likely to experience continued hardship in retirement (see Sarah Holden and Jason Seligman, Jason, *Do People Successfully Manage Their Nest Eggs Through Retirement? Evidence from the Evolution of US Household Balance Sheets*, Investment Company Institute, June 6, 2023).

⁴ H. G. Waltner, "Discussion: Government and Individual Security," *Proceedings of the Academy of Political Science*, Vol. 24, No. 1, 1950.

⁵ David John, Manita Rao, and Gary Koenig, "Payroll Deduction Retirement Programs Build Economic Security," AARP Public Policy Institute, December 12, 2024.

⁶ John, Rao, and Koenig, 2024.

To support retirement savings for workers without a retirement savings plan via their employers, on April 7, 2025, members of the House of Representatives⁷ introduced the Retirement Savings for Americans Act (RSAA), which we discuss in more detail after the following section (the Senate version was introduced on April 30, 2025).

Context

The United States is experiencing an increase in the number of retirees, a significant retirement shortfall, an increase in poverty among people older than 65, and an increased strain on the Social Security program's finances. The Federal Reserve of St. Louis estimates that more than 300,000 Americans will turn 65 years old *each month* in 2024 and 2025, with those numbers declining as we pass the 1960 peak of the baby boom (the generation from 1946 to 1964).⁸ Many of these workers entered the labor market in approximately 1980, when wages began to stagnate for the working class. Consequently, retirement savings for this 1980 working-class cohort are low relative to older working-class cohorts. All of these findings are evidenced by the number of people over the age of 65 who are living in poverty. According to the U.S. Census Bureau, from 2000 to 2023, poverty for those 65 and older increased from 3.3 million to 5.8 million.⁹

Additionally, sweeping changes to the retirement system, in particular, the conversion of defined benefit plans sponsored by well-established firms (e.g., traditional pension plans) into defined contribution (DC) plans (such as 401(k) plans) have shifted the saving responsibility and financial risk to workers in the past 40 years. Although the risk has shifted to the workers, retirement plan portability and investment diversification have increased. Some workers who were employed during the initial scaling up of DC plans were able to have both a defined benefit plan and a DC plan. Therefore, many have a solid retirement foundation with Social Security, a pension, and retirement savings. Finally, program features that increase retirement savings and security, such as automatic enrollment with an opt-out provision and life-cycle investment defaults, have become increasingly available relative to early DC plans.

Structure of the Plan for RSAA Accounts

The Retirement Savings for Americans Act (RSAA) provides access to individual savings accounts for any employee who does not have access to a retirement savings plan sponsored by an employer. In addition, the RSAA provides a base contribution of 1 percent and matching funds to workers who contribute as described in Table 1.

⁷ U.S. House of Representatives, Retirement Savings for Americans Act of 2025, Bill 2696, April 7, 2025; U.S. Senate, Retirement Savings for Americans Act of 2025, Bill 1526, April 30, 2025.

⁸ Guillaume Vandenbroucke, "How Many People Will Be Retiring in the Years to Come?" Federal Reserve Bank of St. Louis, May 30, 2019.

⁹ To be clear, some of this is just demographics, given the size of the baby boom cohort. The overall percentage of those older than 65 who experience poverty has remained relatively stable at between 8 percent and 10 percent, while the total number has increased by 75 percent (see Table A-3 in Emily A. Shrider, *Poverty in the United States: 2023*, U.S. Census Bureau, Report No. P60-283, September 10, 2024, p. 22).

Table 1. Federal Matching Rates, by Income and Contribution Rate

Contribution as a Share of Income	Income at or below Median ^a	Income Above Median ^a
3% or below	1% + contribution rate	1% + contribution rate – \$75 per \$1,000 of income over median
3% to 5%	4% + ½ of contribution rate above 3%	1% + contribution rate – \$75 per \$1,000 of income over median
Above 5%	5%	5% – \$75 per \$1,000 of income over median

^a For people who file taxes as the head of household, 150 percent of the median is used for these calculations; for married couples filing jointly, the income used for these calculations is 200 percent of the median.

The contribution phases out at the rate of \$75 per \$1,000 in income over the median. The term *median income* is defined as the “Median Personal Income for the population 15 and over in the United States,” according to the Current Population Survey.¹⁰ The contribution to an RSAA account is made after income taxes are paid by the worker (i.e., post-tax contributions). In 2023, the median income by this measure was \$42,220. Thus, by approximately \$71,000 in earnings, the federal matching contribution would be zero.¹¹

In addition to these federal matching rates, the program has the following features, each of which we discuss in more detail. The plan includes an auto-enrollment for all eligible workers with an active opt-out provision. That is, workers who do not want to automatically save 3 percent of their income (and, for those who meet the income requirements, receive a match of 4 percent) would have to file online to discontinue participation. Secondly, the funds available in which to invest would mirror those in the federal government employees’ Thrift Savings Plan.¹² An RSAA account is fully portable, so it would remain in operation should a worker change jobs, industries, occupations, or employers; contributions to the plan, whether by the worker or through a federal matching contribution, would be restricted by the underlying eligibility rules related to access to an employer-sponsored savings plan and income requirements, respectively. Periods of unemployment or a labor force exit would see no contributions made because of a lack of income. Federal contributions are expressly for the purposes of retirement and cannot be accessed prior to age 59½. However, individual contributions can be accessed after five years and, given certain hardship exemptions, can be withdrawn without additional tax penalty. All savings are post-tax earnings. So, unlike a typical defined benefit plan which is invested

¹⁰ Sarah Flood, Miriam King, Renae Rodgers, Steven Ruggles, J. Robert Warren, Daniel Backman, Annie Chen, Grace Cooper, Stephanie Richards, Megan Schouweiler, and Michael Westberry, “IPUMS Current Population Survey, Version 12.0,” dataset, IPUMS, 2024.

¹¹ We estimate this based on the phase-out beginning at \$42,220 at a rate of \$75 per \$1,000. So, the maximum federal match would be \$2,111 and that would phase out after \$29,000 in additional income above the median for a total of about \$71,000. Married filing jointly and heads of household filing jointly have phase-outs starting at double and 1.5 the median earnings (\$84,440 and \$63,330 respectively).

¹² Thrift Savings Plan, “TSP Investment Options,” webpage, undated. These include 11 life-cycle funds, a mix of five different TSP funds (treasuries and index funds of stocks and bonds), and a mutual fund window that, if qualified, allows for a broader set of investments.

with pre-tax dollars and then taxed at distribution (in retirement), workers participating in a RSAA account would pay all taxes at the time of earnings and none at the time of distribution (much like a Roth individual retirement account [IRA]). Finally, all workers who earn below the phase-out amount would be eligible regardless of whether their employment relationship is one of being a regular employee or an independent contractor, such as Uber/Lyft drivers, cleaning franchises, and other 1099 employment (e.g., self-employment, freelance work, and contract work). However, implementing these features can be complicated (see, for example, the Saver’s Match).¹³

Study Approach

To model the implications of the RSAA plans, we built a Monte Carlo (MC) model to simulate the outcomes of full participation and then assessed and tested a variety of plausible unemployment rates based on a review of the literature and our own data collection. The MC examines workers by decile of earnings, makes projections about wage growth, and incorporates spells of unemployment and durations of unemployment over a 40-year working lifetime. To model the first 40 years of the program, we use an overlapping generations model in which some current 20- to 24-year-olds participate in the program for 40 years and earlier birth cohorts participate for less time. Subsequent generations are based on the size and income distribution of the 20–24-year-old cohort. Because the RSAA uses a national median wage, we anticipate the following outcomes. First, many workers will experience earnings increases over their lifetime such that they are less likely to be eligible for the program when they are older and their earnings are higher. Roughly eight in ten of workers ages 20 to 24 earn below the median, while fewer than four in ten of 50- to 54-year-olds earn below the median. Secondly, because women and racial/ethnic minorities typically earn less than White men, match eligibility among women and racial/ethnic minorities is likely to be higher and last for longer.¹⁴

Hardship withdrawals are likely to be a common feature for those at the lowest ends of the earnings distribution—with consequently lower cumulative savings at retirement but potentially important consumption smoothing benefits during spells of unemployment.¹⁵ To capture this potential benefit, in future iterations of this work, we will examine fund balances at the beginning of each unemployment spell to ascertain the potential for consumption smoothing (we include an initial test of this in Appendix B). We note evidence from recent state-level introductions of auto-IRA programs, which do not include governmental matches, but which indicate that “increases in retirement savings [in auto-IRA programs] dwarf concurrent increases in withdrawals”¹⁶ leading to projected significant savings at retirement.

¹³ See, for example, Investment Company Institute, “Re: Notice 2024-65—Request for Comments Regarding Implementation of Saver’s Match Contributions,” letter to Internal Revenue Service, November 7, 2024.

¹⁴ See, for example, Olivia S. Mitchell and Nikolai Roussanov, eds., *Reducing Retirement Inequality: Building Wealth and Old Age Resilience*, Oxford University Press, April 2025.

¹⁵ *Consumption smoothing* is when individuals or households seek to maintain a stable level of consumption over time by building up savings during periods of higher income and drawing on those savings during spells of unemployment or lower income. See Appendix C for more discussion on this topic.

¹⁶ Thomas Willingham, *Nudging Policies and Retirement Saving: Evidence and Theory from State Auto-IRA Programs*, Joint Committee of Taxation, U.S. Congress, November 12, 2024, p. 1.

The model incorporates some assumptions that are based on extant literature to inform our choices of parameter values and the range of plausible values. In particular, we draw on the auto-IRA literature for the ten states that now offer these programs to small employers.¹⁷ We identify these cases and, when possible, re-estimate the simulations with a range of values to test parameter sensitivity.

Some of the key factors we determined using assumptions that were informed by the literature include the following:

- What proportion of eligible workers will opt out of the program? We note that the existing evidence is for those who had plans offered to them; for this lower-income population, there may be higher opt-out rates. State auto-IRA programs provide some evidence but may be too low because of the lack of a government contribution. We assumed full participation but may explore other scenarios in future work.
- Of those who elect to participate, what portion will save more than the fully matched 3 percent? What proportion will elect to save 5 percent and get the government match of 4 percent? How many will save even more than that? We assumed a 3-percent savings rate in our baseline scenario and ran an explicit alternative scenario in which everyone contributed the maximum allowable amount, but future work could be more nuanced.
- How will newly eligible workers invest their savings? There are several options in the Thrift Savings Plan. We assumed a portfolio that matches the performance of the S&P 500 Index, although this approach may entail more risk than plan participants may actually take.
- How much are the administrative fees? We assumed them to be zero but could use more realistic values in future work.
- Will workers remain continuously employed? How many spells of unemployment will they experience, how long will they last? How many workers will leave the labor force entirely for some time? We used empirical data from 1999 to 2024 to inform our assumptions on unemployment spell frequency and duration.
- How many workers experiencing economic hardship will take withdrawals prior to retirement? If they take a hardship withdrawal, how much are they likely to withdraw? How much will be withdrawn for non-hardship expenses? We ran a scenario where all participants withdrew their RSAA contributions (but not the matched contributions) prior to reaching age 65 but future analysis could include more nuanced responses.
- How many firms will opt to drop their existing plan and take up the RSAA plan in its place? We ran a scenario in which all firms dropped their existing retirement plans, but future work could be more nuanced in exploring the implications of differential rates of dropping coverage.
- How will this additional income affect retirement timing decisions and the timing of Social Security claims? This type of question relies on a complex understanding of worker behavior that is not currently feasible in our models but may be at some point.
- How rapidly will those with limited assets spend down their savings and qualify for Medicaid? We have provided multiple spend-down scenarios in Appendix B, Table B.2. The literature on Medicaid spend-down is somewhat mixed with some research showing an avoidance of

¹⁷ John Chalmers, Olivia S Mitchell, Jonathan Reuter, and Mingli Zhong, *Auto-Enrollment Retirement Plans for the People: Choices and Outcomes in Oregon*, National Bureau of Economic Research, Working Paper 28469 February 2021; Laura D. Quinby, Alicia H. Munnell, Wenliang Hou, Anek Belbase, and Geoffrey T. Sanzenbacher, *Participation and Pre-Retirement Withdrawals in Oregon's Auto-IRA*, Center for Retirement Research at Boston College, Working Paper 2019-15, November 1, 2019; Jack VanDerhei, *Auto-IRAs: How Much Would They Increase the Probability of "Successful" Retirements and Decrease Retirement Deficits? Preliminary Evidence from EBRI's Retirement Security Projection Model*, Employee Benefit Research Institute, EBRI Notes, Vol. 36, No. 6, June 2015.

Medicaid eligibility by transferring assets to some lower-income family members, and other researchers showing modest levels of spend-down each year. Because precautionary savings have significant value in retirement, many people may avoid spending down to attain eligibility. Consequently, we believe \$10,000 to \$15,000 per year for a low-income household is a fairly conservative estimate.

Dynamic Considerations

Not only does the model require estimates of the measures discussed above, which are likely to be stable (e.g., there is no reason to suspect that opt-out rates will vary dramatically from year to year or over the life cycle), but, with the advent of the RSAA program, workers will face new economic incentives that may alter behavior in response to the program. These dynamic effects include changes in labor supply, either in labor force participation or a change in hours of work; crowding out (i.e., firms changing their willingness to offer employer-sponsored plans once the federal account plan is available); and retirement percentage savings adjustments (e.g., potential crowd-out of other savings). When we sample a year, we pull the unemployment rate, rate of returns on assets, duration of unemployment, and wage growth so that these factors are all appropriately correlated.

It is difficult to understand to what extent the RSAA will be perceived as an increase in income or a decline. On one hand, qualifying workers will receive more money in the form of retirement fund contributions from the federal government. But to receive the bulk of the match, qualifying workers must reduce their take-home (after-tax) pay by up to 5 percent. Many workers may perceive this current-income reduction as a pay cut—especially those with strong preferences for income today rather than retirement savings in 30 to 40 years even if RSAA accounts ultimately allow them to build buffer savings that will improve liquidity and retirement savings. For those who perceive this reduction in income as onerous, there is always the opt-out provision—assuming that the worker is familiar with it. Next, we describe how the program may alter incentives to work in more detail.

Labor Supply

Changes in total compensation, in this case an increase in retirement benefits, are likely to be met with changes in behavior. Some people who were reluctant to work prior to the program may now opt to participate in the labor market—by searching for and finding a job. Other workers may elect to work more or fewer hours. Additionally, some workers who may be considering dropping out of the labor force may be induced to stay in it. The labor economics literature has evaluated these changes in behavior by studying changes in policy that alter compensation. In general, the literature shows relatively large positive changes in becoming or staying employed for policies that raise wages and limited effects on hours worked. In the next section we discuss some of these estimates in some detail.

Extensive margin: Will anyone enter the labor force and take a job because of this benefit? One expert suggests, “The empirical literature has shown that extensive labor supply elasticities are significant for low-income earners.”¹⁸ For example, early evidence by Nada Eissa and Jeffrey Liebman

¹⁸ Emmanuel Saez, “Optimal Income Transfer Programs: Intensive Versus Extensive Labor Supply Responses,” *Quarterly Journal of Economics*, Vol. 117, No. 3, August 2002.

in 1996 and Bruce D. Meyer and Daniel T. Rosenbaum in 2001 show that the development of the Earned Income Tax Credit (EITC) in the United States has had strong positive effects on labor force participation of beneficiaries.¹⁹ There has been recent debate as to the size and extent of this EITC employment effect between authors Diane Whitmore Schanzenbach and Michael R. Strain in 2021 and Henrik Kleven in 2024, but strong causal evidence remains as to its positive effect.²⁰

The EITC represents a similar transfer of income as the RSAA contribution, totaling approximately \$2,500 per household.²¹ A federal matching contribution of 4 percent to 5 percent would result in approximately \$2,000 to \$2,500 per year for a household with combined earnings of \$50,000. However, we note that the EITC results in either a monthly or lump-sum increase in income, whereas the RSAA increases savings for retirement (and emergency withdrawals) and may consequently have a smaller impact on employment. The RSAA may be implemented annually by the Internal Revenue Service (IRS), and a lump sum or monthly retirement contribution could be possible, making it a similar work incentive as the EITC. However, the current version of this report assumes no dynamic effects on employment, either on the labor force entry or exit margins.

Intensive margin: The literature suggests that the effect of wages on the intensive margin (change in hours) is somewhat muted. In particular, most estimates of hours of work elasticities conditional on working are small, although these estimates are somewhat dated.²²

More recent research seems to support the idea that extensive margin effects of wages are larger than intensive margin effects.²³ Research finds larger extensive margin effects overall relative to intensive margin effects, and larger extensive margin effects for women relative to men, and for the lowest income workers relative to other workers.²⁴ Findings also suggest large heterogeneity of elasticity estimates for women and especially low-income individuals. The extensive margin remains important, explaining more than one-half (54 percent) of the total labor response for women younger than 30 years old.

¹⁹ Nada Eissa and Jeffrey Liebman, “Labor Supply Response to the Earned Income Tax Credit,” *Quarterly Journal of Economics*, Vol. 111, No. 2, May 1996; Bruce D. Meyer and Daniel T. Rosenbaum, “Welfare, the Earned Income Tax Credit, and the Labor Supply of Single Mothers,” *Quarterly Journal of Economics*, Vol. 116, No. 3, August 2001.

²⁰ Henrik Kleven, “The EITC and The Extensive Margin: A Reappraisal,” *Journal of Public Economics*, Vol. 236, August 2024; Diane Whitmore Schanzenbach and Michael R. Strain, “Employment Effects of the Earned Income Tax Credit: Taking the Long View,” *Tax Policy and the Economy*, Vol. 35, No. 1, 2021; Chetty, Raj, John N. Friedman, and Emmanuel Saez, “Using Differences in Knowledge Across Neighborhoods to Uncover the Impacts of the EITC on Earnings,” *American Economic Review*, Vol. 103, No. 7, December 2013.

²¹ IRS, “EITC Reports and Statistics,” webpage, undated.

²² For surveys of the older literature and other examples, see John Pencavel, “Chapter 1-Labor Supply of Men: A Survey,” in Orley C. Ashenfelter and Richard Layard, eds., *Handbook of Labor Economics*, Elsevier, Vol. 1, 1986; and Richard Blundell and Thomas Macurdy, “Chapter 27-Labor Supply: A Review of Alternative Approaches,” in Christian Dustmann, Thomas Lemieux, eds., *Handbook of Labor Economics*, Elsevier, Vol. 3, Part A, 1999.

²³ Richard Blundell, Antoine Bozio, and Guy Laroque, “Labor Supply and The Extensive Margin,” *American Economic Review*, Vol. 101, No. 3, 2011.

²⁴ Orazio Attanasio, Peter Levell, Hamish Low, and Virginia Sánchez-Marcos, “Aggregating Elasticities: Intensive and Extensive Margins of Women's Labor Supply,” *Econometrica*, Vol. 86, No. 6, November 2018.

For this analysis we did not assume that more workers would enter the labor force, or that they would work more hours and, hence, raise their earnings. Both of these effects would result in increased tax revenue from workers, and more retirement savings for those eligible for RSAA.

Firm Pension Plan Crowd-Out

How will firms that currently offer employer-sponsored programs respond to a new government benefit program that is fully paid for by the public? The easy answer is that they will discontinue their existing program in favor of the federal program. This phenomenon—when a public program pushes out private options—is commonly referred to as *crowding out*. Previous analysis has assumed a reduction in employer-sponsored plans ranging from 33 percent for small firms to 22 percent with very large firms.²⁵ Because government contributions begin phasing out at the median earnings (approximately \$42,000 for individuals, \$62,000 heads of household, and \$84,000 for married filing jointly), the Morningstar analysis assumes firms with 60 percent of their employees earning less than \$60,000 will have an incentive to drop their employer-sponsored retirement plan because the majority would be eligible for matching contributions through RSAA and that could outweigh the tax benefits for the firm to offer retirement plans.²⁶ We note that the basis for the assumption in the Morningstar report that 22 percent to 33 percent of firms will drop their plans once 60 percent of their workers will receive a government match is not based on empirical evidence, but rather an assumption about how firms will behave.²⁷ It could be that a smaller or larger fraction drop, or that a higher or lower threshold of workers receiving a match from the government triggers a firm to drop its plan.

Regardless of the specific trigger points and percentage of firms who drop their plans, crowd out is likely to occur for firms that predominately employ lower-income workers and who offer these lower-income workers pension plans; the risk of crowd out is more complicated for firms who employ workers with a wide range of earnings as discussed below.

First, we note some of the empirical evidence on crowd-out from state-level auto-IRA programs. Researchers found that rather than adopt the lower cost state auto-IRA plan, employers without their own sponsored program often elect to set one up, despite the higher cost.²⁸ This implies a “crowd in” effect (increasing employer provided retirement plans in the face of a public option). However, these state-level auto-IRA plans offer no government matching contribution and therefore, provide no incentive for other firms to drop their retirement plans.

Perhaps most importantly, crowd out is made difficult due to the Employee Retirement Income Security Act (ERISA) passed in 1974. ERISA requires a firm’s retirement plan to provide equitable benefits to all employees, particularly in DC plans, such as 401(k) plans. These rules are designed to

²⁵ Spencer Look and Jack VanDerhei, *The Retirement Savings for Americans Act: Increased Access, Worse Retirement Outcomes Overall*, Morningstar Inc., Center for Retirement and Policy Studies, November 1, 2024.

²⁶ Look and VanDerhei, 2024.

²⁷ Look and VanDerhei, 2024.

²⁸ Adam Bloomfield, Lucas Goodman, Manita Rao, and Sita Slavov, *Why Do Employers Establish Retirement Savings Plans? Evidence from State “Auto-IRA” Policies*, National Bureau of Economic Research, Working Paper 32817, August 2024.

prevent plans from disproportionately favoring highly compensated employees over lower-paid employees. Here are the key aspects:

- **Coverage requirements:** Plans must cover a sufficient percentage of non-highly compensated employees to avoid being classified as discriminatory. This means that a significant portion of the workforce must be eligible to participate in the plan.
- **Actual Deferral Percentage (ADP) Test:** This test compares the average deferral rates of highly compensated employees (HCEs) with those of non-highly compensated employees (NHCEs). If the deferral rate for HCEs is too high compared with NHCEs, the plan may need to be adjusted to ensure compliance.
- **Actual Contribution Percentage (ACP) Test:** Similar to the ADP test, the ACP test compares the average contribution rates made by HCEs and NHCEs. Plans must ensure that contributions do not disproportionately benefit HCEs.
- **Top-heavy rules:** If a retirement plan is deemed *top-heavy*, meaning that a significant portion of the plan's assets is held by key employees or owners, the plan must provide minimum benefits or contributions to non-key employees to ensure fairness.
- **Vesting requirements:** Plans must adhere to certain vesting schedules that ensure employees earn their benefits over time. This prevents plans from favoring longer-serving employees disproportionately.

Although these non-discrimination rules do not require that all employees receive identical benefits, they do ensure that retirement plans are designed to provide fair access and benefits across different employee groups. One consequence of ERISA is that it would be difficult for firms that employ a wide range of employees at different compensation levels to shift one set of workers onto RSAA while preserving more-generous benefits for its more-highly compensated employees. Therefore, this limitation theoretically reduces crowd-out from firm pension plans.

Although we think dropping a plan is complicated for firms that employ workers with a wide variety of earnings levels, we show that it is also potentially very costly to the government and, by inference, potentially disruptive to the private retirement savings system. As noted above, VanDerhei argues that once an employer-sponsored plan has 60 percent of current enrollees earning less than \$60,000 a significant number of firms (one-third of small firms and 22 percent of large firms) will drop their employer-sponsored plans. However, that would leave as many as 40 percent of the remaining employees without a government or a firm contribution to their retirement—effectively cutting worker pay when the firm drops their plan. Thus, there would be pressure to either maintain the plan or raise the wages to compensate for the loss in retirement benefits. An example makes this scenario clear: take a single worker, with no children, earning \$100,000 per year who contributes 7 percent of their income to an employer-sponsored retirement plan and receives a 5-percent employer match. If the firm drops its plan, this worker would be *eligible* for an RSAA account but would *not* receive a government match. This loss of a match constitutes a 5-percent cut in compensation. If the firm raises worker pay to cover this loss, the employee could raise their savings offsetting some of the retirement savings reduction. For some highly compensated workers additional tax-preferred savings may be impossible due to IRS contribution thresholds, and for others this compensation would have tax implications (raising the current taxable wage base and converting over to a post-tax savings vehicle, such as a Roth IRA, as compared with a pre-tax plan, such as a typical 401[k]). However, these complications are

unlikely to significantly lower the probability of crowding out since the firm still has an incentive to save money by eliminating its contribution to lower-income workers. The example discussed above is costly for the government for all those lower-income workers who had previously received a match from their employer and who are now receiving a government match. Although we think that VanDerhei may have overstated the case for the reasons described above, it is still potentially costly and disruptive, and we should take seriously the possibility of crowding-out and the corresponding costs to the federal government. We explore the implications of different degrees of crowd-out in Appendix B. Furthermore, if the firm retains the savings from dropping the plan it previously offered, then the firm would pay corporate taxes at its marginal tax rate (typically 21 percent).²⁹ Alternatively, if firms pass on savings to the workers as higher income, then they will pay income tax at their marginal tax rate (between 10 percent and 37 percent).³⁰ For this study, we assumed the tax revenue associated with firms dropping plans would be 21 percent.

Policy options are available to curb the extent of firm crowd-out, including amending the RSAA legislation language to include “maintenance of effort provisions.” For example, the Affordable Care Act designed policies to ensure that firms continued to offer health insurance despite potential subsidies for marketplace-purchased plans. These provisions would preclude firms from dropping their existing employer-sponsored plan and then taking up an RSAA account plan for a specified number of years after an existing plan was terminated. Complications could arise if firms were to reorganize under a new name or start new firms with plan conversion in mind; however, special provision for this type of behavior could also be fashioned. Additionally, policymakers could reduce crowd out by accelerating benefit phase outs to occur at lower-income levels (e.g., starting at 80 percent of the median). By reducing contribution levels, firms would have fewer current employees with plans who would be eligible for government matches; because lower-income workers are disproportionately not offered employer-provided pension plans, the income limit for government matches effectively limits the amount of crowd-out possible.

In our analysis, we find that crowd-out is very expensive without raising net retirement savings, and policymakers should be aware of the potential effect size and cost. Although we think there are reasons why previous analysis may have overstated the probability of an employer dropping its current plan, it could be costly for employees who currently have an employer-sponsored pension if current plans were dropped. As with many low-probability but costly outcomes, policymakers may want to adjust the design of RSAA account plans to reduce the risk of large-scale shifts from employer-sponsored retirement plans. To insure against crowd-out, the RSAA bill sponsors may consider adding provisions that prevent employers from dropping their current plans and shifting workers to RSAA accounts.

Long-Run Economic Consequences of Increased Savings

One of the key benefits of the RSAA is that it affords lower-income individuals and households the opportunity to save, not only for retirement, but for other economic contingencies, such as job loss,

²⁹ IRS, “Instructions for Form 1120,” webpage, last updated February 4, 2025a.

³⁰ IRS, “Federal Income Tax Rates and Brackets,” webpage, last updated July 8, 2025b.

unexpected medical expenditures, and family dissolution—the three primary causes of bankruptcy in the United States. Additionally, paying for emergency expenses, such as home or auto repairs, can improve economic stability by ensuring that lower-income workers can maintain transportation to work, or stay reliably housed. Having a rainy-day fund can provide these families resources to cover unexpected costs with less disruption.

Although increased federal borrowing may crowd out investment into private firms, the net effect of RSAA should be increased investment because, in the short term, individuals will invest the RSAA funds and, in the longer term, the program is likely to produce a relative surplus. Furthermore, because individuals will invest in RSAA accounts to be matched, more capital will be invested in total with RSAA accounts than without. The scale of this increase, tens of billions per year, is large but unlikely to have a material effect on the stock market, which is valued in the tens of trillions of dollars.³¹

Will the savings from the RSAA be sufficient to cover these types of expenses?³² Using the results from Table 1, under most scenarios, the answer is yes. However, the full range of calculation types are difficult to make, as are the reductions in anxiety owing to a severe lack of accumulated wealth. Although difficult to quantify, there are numerous other non-fiscal effects that are important to elucidate. Consequently, we point out additional costs and benefits of having retirement savings in Appendix C.

Results

In this section, we describe the outcomes from four behavioral scenarios:

- **Baseline:** All workers without a qualifying retirement plan from their employer participate in an RSAA account plan and contribute 3 percent of their income. Workers do not withdraw any of their assets until they reach the age of 65. Firms do not change whether and to whom they offer retirement plans.
- **Crowd-out:** All firms drop their retirement plans so that individuals shift to RSAA accounts. This shift would result in the full population being on RSAA plans, increasing federal costs for matching contributions, particularly for people around the median annual income.
- **Maximum percent contribution:** Participants contribute 5 percent of their income to their RSAA accounts, raising the federal matching rate from 4 percent to 5 percent. Thus, the primary implications are that individuals save 10 percent of their income rather than 7 percent and that government costs are four-thirds higher because of the higher matching rate.
- **Spend-down:** Participants spend down the full amount of their contributions to their RSAA plan and the gains associated with those contributions before retirement. This implies that asset levels at retirement for those with matching funds are half (or less if the matching was not dollar for dollar), and therefore, the spend-down time for the assets is approximately half that of the baseline scenario.

³¹ Statista, “Stocks,” webpage, undated.

³² The savings associated with the reduction in Medicaid spending will be split between the federal and state governments based on the federal Medicaid assistance percentage. In future iterations of this work, we will explore a more detailed breakdown between the state and federal governments.

These scenarios explore several key sources of behavioral uncertainty in our modeling. Because our model, at present, is too simple to account for behavioral responses by firms or individuals, we tested each extreme case and some intermediate cases in Appendix B.1. Table 2 has the costs after ten years and 40 years and the RSAA-related wealth accumulation levels for the 10th and 50th percentiles of the income distribution at retirement.

Table 2. Estimates for the Baseline RSAA Scenario and Three Alternatives over 40 Years

Output	Baseline RSAA	Firm Crowd-out	Maximum Contribution	Spend-Down
Firms drop current retirement plans	0%	100%	0%	0%
Individual contribution rate	3%	3%	5%	3%
Individuals withdraw funds before retirement	0%	0%	0%	100%
10-Year estimates (in billions \$)				
Federal contribution costs	\$267	\$660	\$321	\$267
Interest costs	\$24	\$54	\$29	\$24
Total costs	\$291	\$714	\$350	\$291
Additional tax revenue	\$0	(\$83)	\$0	\$0
Medicaid for seniors ^a	(\$16)	(\$17)	(\$17)	(\$7)
SSI	(\$2)	(\$2)	(\$2)	(\$1)
Net cost	\$274	\$613	\$331	\$284
40-year estimates (in billions \$)				
Federal contribution costs	\$1,368	\$3,318	\$1,642	\$1,368
Interest costs	\$127	\$495	\$148	\$127
Total costs	\$1,495	\$3,813	\$1,790	\$1,495
Additional tax revenue	\$0	(\$409)	\$0	\$0
Medicaid for seniors ^a	(\$3,313)	(\$3,479)	(\$3,578)	(\$885)
SSI	(\$277)	(\$291)	(\$299)	(\$138)
Net cost	(\$2,095)	(\$367)	(\$2,088)	\$472
Individual RSAA assets after 40 years				
10th percentile earner	\$126,000	\$126,000	\$180,000	\$72,000
50th percentile earner	\$585,000	\$585,000	\$836,000	\$333,000

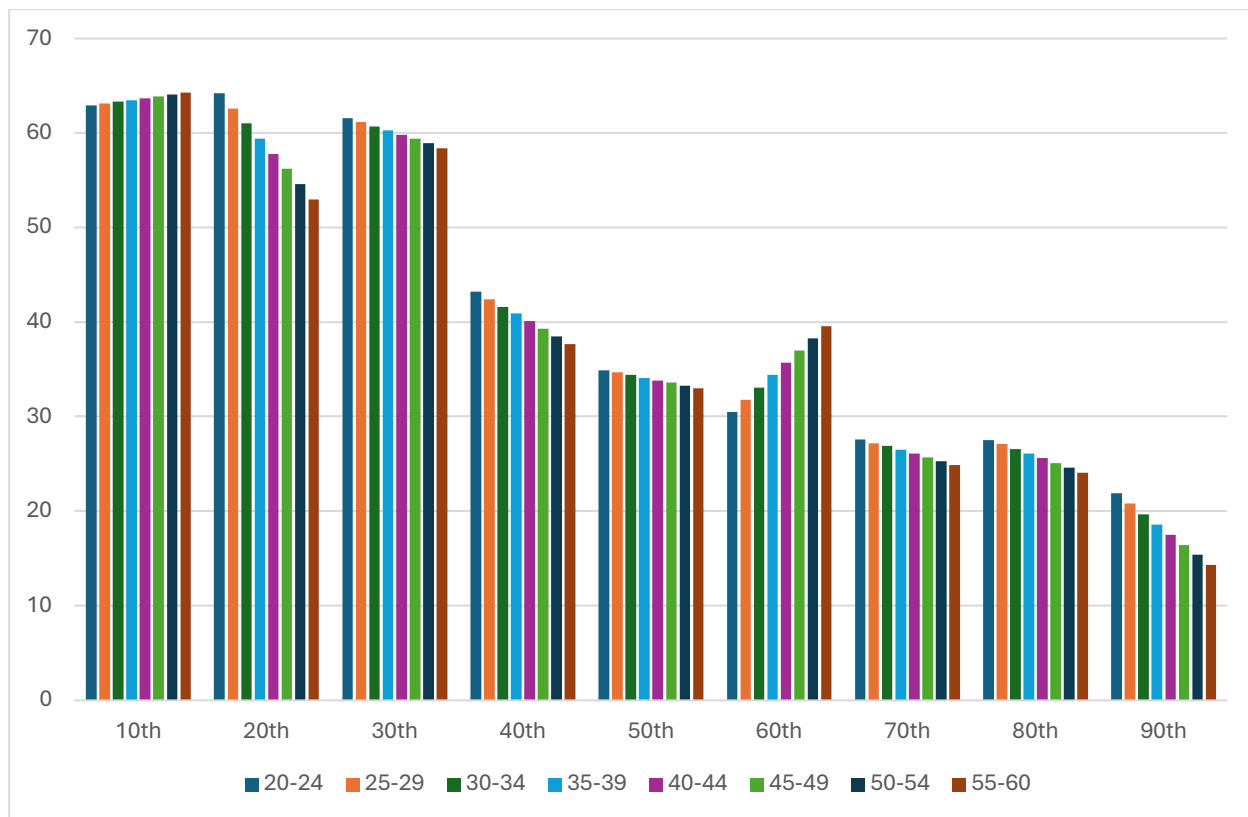
NOTE: Dollar values are all in nominal 2024 dollars compared to the status quo. Totals may not sum due to rounding. Parentheses indicate negative numbers.

^a Medicaid costs are split between the federal government and state governments based on the Federal Medical Assistance Percentage (FMAP). The FMAP ranges from 50 percent to 76.9 percent for the 50 states plus the District of Columbia (for U.S. territories, the range is 76 percent to 83 percent). Considering the dual-eligible population, the enrollee-weighted average for the 50 states plus Washington, D.C., is 59 percent. Thus, we might expect 41 percent of the savings from the delayed enrollment in Medicaid among senior citizens to accrue to states rather than the federal government. Thus, a portion of the savings would accrue to state governments and not the federal government.

For our baseline result, we assumed no opt-outs. We averaged the results from more than 1,000 different Monte Carlo estimates of 40 years, each with different rates of income growth, unemployment rates, and returns on investments.

Figure 1 shows the percentage of workers eligible to participate in an RSAA plan by age group and earnings decile. As the population ages, fewer workers are eligible to participate, meaning they are increasingly likely to work for an employer that sponsors a retirement plan. As we move down the income distribution, we see that larger shares of workers are eligible to participate. Those earning below the national median would receive federal matching of up to 3 percent (recall that in this baseline model, all participants contribute 3 percent). For those in the age range of 20 to 24 years old, their eligibility ranges from 22 percent to 64 percent for the 90th and 20th percentiles, respectively. Of particular interest is the bottom 10th percentile of earnings: Their eligibility rates stay relatively constant throughout their working careers at 63 percent to 64 percent, meaning that nearly two-thirds of these workers, at each age, are not offered an employer-sponsored retirement plan.

Figure 1. Eligibility Rates for Participation in an RSAA Account, by Age Group and Earnings Decile

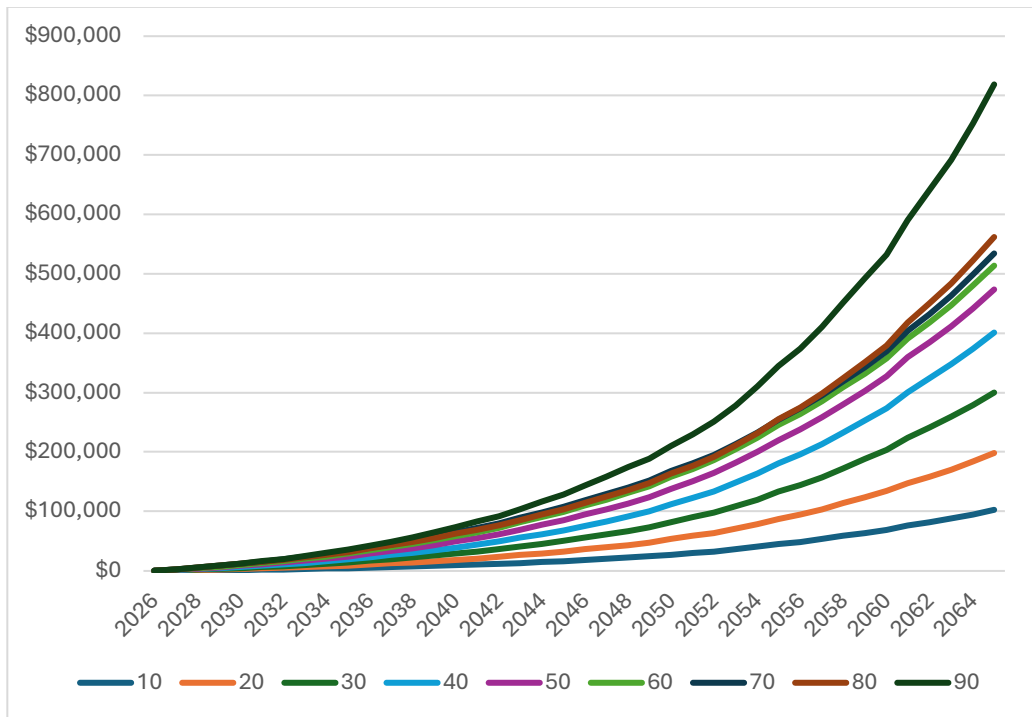


NOTE: This figure shows the percentage of participation by age group and income decile. Each bar represents the proportion of that age group and decile of earnings who are eligible to participate. Upper-income deciles will have an account but not receive federal matching.

Although all workers without a current employer-sponsored plan are eligible to participate, only some receive the government match. Federal matching contributions phase out starting at the national median wage.

Figure 2 shows the amounts saved by the 20- to 24-year-olds after each five-year increment following an assumed implementation of the RSAA in 2026. At the 60th through 80th percentiles of the earnings distribution, the total savings levels essentially converge. This occurs because young workers up to the 80th percentile of the income distribution are still receiving federal matching funds, while those in the 90th percentile are not; those in the 60th and 70th percentiles are experiencing earnings gains later in their careers, making them ineligible for the government match. Incomes for workers at or above the 90th percentile are large enough that even without the matching contributions, the 3-percent contribution puts them substantially higher than lower quantiles for the asset levels to be higher after 40 years.

Figure 2. Baseline RSAA Account Balances for Initial Cohort



NOTE: These amounts are all in nominal 2024 dollars. The population here is the cohort of people aged 20 to 24 when the program begins. These values are the values at the given quantile. The income deciles are for the total population. As seen in Figure 1, participation in each decile group is not uniform, and many more people in the lower deciles participate than in the higher ones.

Assuming no one opts-out of the program, we expect 63.3 million workers to have RSAA plans in the first year, with roughly two-thirds of those receiving some level of federal matching funds. The cost for these matching funds would be approximately \$26 billion, which amounts to about \$630 per recipient on average. This is substantially lower than the cost for the median worker, which is closer to \$1,600 because, as seen in Figure 1, only about one-third of people around the median are eligible for

RSAA accounts. On the other hand, closer to 60 percent of workers in the first three deciles are eligible for RSAA accounts.

To be eligible for Medicaid, the asset limit for seniors is \$9,660 for an individual or \$14,470 for a couple.³³ Thus, if the RSAA account pushes an individual above that threshold, the federal government would spend less on that individual's RSAA account until that person's household spends down the individual's assets to below the threshold. Assuming a spend-down rate of \$10,000 per year in 2025 dollars, we would expect RSAA would reduce Medicaid spending by approximately \$3.3 trillion over 40 years. Appendix Table B.2 provides alternate spend-down rates and the net cost implications. If the spend-down rate was to double from \$10,000 to \$20,000 per year, RSAA would fail to pay for itself after 40 years. Under this scenario, net costs would exceed \$403 billion. If spend-down rates increased to 15,000 per year the program would have positive net benefits after 40 years (\$123 billion).

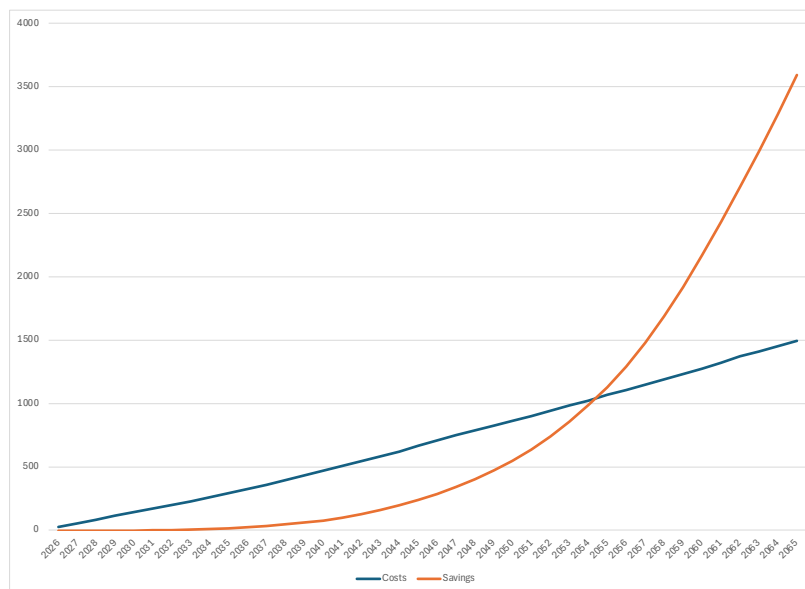
Similarly, the SSI has an asset limit of \$2,000 for individuals and \$3,000 for couples.³⁴ As with Medicaid, RSAA would push many people above the income threshold. With the lower threshold, it is likely that some savings in SSI spending could be realized much sooner than with Medicaid, though still primarily after the first decade. With a \$10,000 per year spend-down, we would expect \$277 billion in savings over 40 years. Because these values are very sensitive to assumptions regarding the spend-down rate and other assets (we assumed no other qualifying assets for people in the bottom two deciles), we provide additional scenarios with alternate spend-down rates so that readers can better understand their effect on overall costs (see Appendix Table B.2).

In the baseline case, the annual offsets from reduced spending on SSI and Medicaid are greater than the program costs after about 20 years, but it takes about 30 years for the program to cumulatively pay for itself, including interest costs (as can be seen in Figure 3). This break-even time is roughly 40 percent longer when considering only the federal portion of the savings from the reduction in Medicaid spending.

³³ Centers for Medicare and Medicaid Services, "Seniors & Medicare and Medicaid Enrollees," webpage, undated-b.

³⁴ Social Security Administration, "Supplemental Security Income (SSI) Resources," webpage, undated-a.

Figure 3. Cumulative Costs and Expected Reductions in Spending for the Baseline Scenario



NOTE: The cost line includes both the costs for the program and the interest costs. The savings are the sum of reductions in Medicaid and SSI spending because of reduced eligibility.

However, if there is substantial crowd-out, because very few of the individuals who would lose their private retirement plan would have been on Medicaid or SSI without the RSAA, the spending reductions associated with those programs are minimal compared with the baseline scenario. Consequently, under this scenario, retirement contribution expenditures would also exceed any hypothetical reductions in the costs of SSI and Medicaid over the 40-year projection. That said, the annual costs could be offset by spending reductions after about 30 years, and the program could cumulatively pay for itself after about 45 years.

In the scenario in which participants maximize their contributions, the federal costs are one-third higher than the baseline cost, but the offsets are only slightly higher because the bulk of the benefits go to people who would not participate in the safety net programs. However, the bottom line is fairly similar to the baseline case—the annual costs match the offsets shortly after two decades and the program cumulatively pays for itself after a little more than three decades.

If people tend to spend down their contributions before they retire, the remaining assets in their account would be just the federal contributions, which would mean that most accounts would be half as large in the baseline scenario. This would result in less of an offset from Medicaid and SSI, but the costs would be the same as in the baseline case. The implication is that the offsets would take about three decades to match the costs annually. Cumulatively, it would take closer to 45 years for the offsets to match the program costs.

The RSAA could reduce costs in other safety net programs to the extent that the program could be cumulatively deficit neutral within 30 years under two of the scenarios and 45 years in the other two scenarios. Only a small portion of a hypothetical reduction in spending on such programs as SSI and Medicaid would be realized during the ten-year window that is typically used for budget scoring because the majority of the people receiving the funds will be decades away from retirement. Thus, to

better understand the long-term implications of some policies, it is necessary to extend the window to the time that the program reaches a steady state.

We expect there may be other channels by which costs could be reduced if the take-up and utilization of transfer income programs were to decline. Such programs as unemployment insurance, the Supplemental Nutrition Assistance Program (SNAP), and Temporary Assistance for Needy Families (TANF) could see declines in spending. However, these options are difficult to quantify either because they have no asset test or the programs specifically exclude retirement savings from asset tests. Finally, it is difficult to quantify how many people may forgo program participation and spend their own assets during periods of hardship.

Conclusions

The RSAA provides a portable retirement plan for workers whose employers do not currently provide a plan. Although 63 million workers would be eligible for the plan, we estimate that only 42 million (about two-thirds of those who are eligible) would receive federal contributions to their account. Under an optimistic scenario (baseline results), which includes full participation, no early withdrawals, and no employers dropping their existing plans, we find that the program could pay for itself after 20 years. It would accomplish this savings by reducing eligibility for SSI and Medicaid due to more workers exceeding the asset tests for those programs.

The results are sensitive to how quickly individuals and households spend down their assets. If spend-down occurs more rapidly (by transferring funds to family members or purchasing goods that are not considered “assets”), then the savings would be significantly reduced. Additionally, the results are sensitive to whether or not employers drop their existing plans, knowing that by no longer having a plan, workers would be eligible for RSAA. This would significantly raise costs and potentially reduce overall retirement savings if the RSAA plan were substituted for more-generous private plans.

In the future, we will also model program opt-out and allowing for workers to experience both income mobility (especially downward mobility after job loss).

Appendix A. Data and Methods

Various data sources were used to inform the details of our model. This appendix describes these sources.

Labor Market Data

We used the Current Population Survey (CPS) for information about the income distribution by decile, income growth rates by decile, the transition probability to unemployment, the duration of unemployment, and the income following a spell of unemployment.³⁵ The CPS is a survey collected by the U.S. Census Bureau and is one of the primary sources of labor market statistics, such as data on wage growth and unemployment.

- **Income distribution:** For income, we matched the definition from the RSAA, which was for gross taxable income. Thus, we included income from wages and salary, dividend, interest, rent, and businesses (both farm and non-farm). We grouped individuals into five-year age bands and then broke them into decile groups.
- **Income growth by decile:** Next, we compare the income between periods to estimate the growth rate broken down by decile.
- **Transition to unemployment:** We used the presence of a duration of unemployment value to indicate that the individual had transitioned to unemployment in the period. Then, based on the starting income decile, we estimated the probability of transitioning to unemployment in a given period.
- **Duration of unemployment:** The unemployment duration is present in the CPS, and it is a continuous variable. We estimated the mean unemployment duration by age group and income decile.

Retirement Return Data

To estimate market returns, we used annual S&P 500 data downloaded from The Motley Fool, which used data constructed by economist Robert Shiller.³⁶ These data included nominal return rates, which were calculated by comparing the nominal closing price of the S&P 500 between years.

Pension Data

We used data from the Understanding America Study (UAS) to obtain information on wage and salary income distribution, mean withdrawal amounts by employment history and income decile, employer pension match rates by income decile, and pension participation with employer matches by

³⁵ Flood et al., 2024.

³⁶ Adam Levy, “S&P 500 Annual Returns,” webpage, *Motley Fool*, undated.

income decile.³⁷ The UAS is a panel household survey conducted by the University of Southern California, with roughly 14,700 respondents. Surveys are designed by researchers around the world and programmed and tested by the team at the Center for Economic and Social Research (CESR).

- Mean amount of pension withdrawal by employment history: Among workers with employer-provided pensions, we analyze the percentage of workers who withdraw from their pension and the average withdrawal amount. We then subdivide this analysis by whether the employee has been employed all year versus whether the employee has been unemployed or transitioned into a new job. We then further subdivide by income decile.
- Employer pension match rate by income decile: To determine which pensions might shift their contributions to the RSAA, we analyze workers who have access to an employer-provided pension. Among these workers, we determine the fraction whose employer-provided pension has *i.* No employer match, *ii.* Up to 3 percent of their contribution is matched by their employers, *iii.* Greater than 3 percent but less than 5 percent of their contribution is matched by workers' employers, *iv.* Greater than 5 percent of their contribution is matched by their employer. We then determine these proportions by income decile group.
- Pension participation by income decile: We group individuals into deciles based on their income. Among workers who have access to employer-provided pensions with employer matches, what percentage of workers per decile opt out of making pension contributions (no participation)?

Reductions in Spending

To produce estimates of the potential reduction in spending associated with RSAA assets affecting program eligibility for those 65 years and older, we calculated the number of years it would take participants on turning 65 to reach the asset threshold for SSI and Medicaid. While asset threshold for Medicaid differs by state, and California no longer has an asset test,³⁸ (population-weighted) average asset thresholds are approximately \$4,000 today and are likely to be between \$11,000 and \$13,000 in 40 years based on a 2.5–3 percent inflation rate. SSI asset tests are approximately \$2,000. For each age cohort, we took the bottom of the distribution (3 percent for SSI and 7 percent Medicaid based on the share of seniors enrolled in these programs) and divided their assets by the spend-down rate (\$10,000 in 2024) to get an estimate for the number of years until they reached the asset threshold. We inflated the thresholds and spend-down rate by 2 percent per year. We then applied the average cost per enrollee for SSI and the first quartile cost per enrollee for Medicaid in Table A.1. We inflated the SSI costs by 2 percent per year and the Medicaid costs by 4 percent per year. We then multiplied the savings per enrollee by the size of the population and number of years in delayed enrollment to produce the savings from each program.

³⁷ Arie Kapteyn, Marco Angrisani, Jill Darling, and Tania Gutsche, “The Understanding America Study (UAS),” *BMJ Open*, Vol. 14, October 2024.

³⁸ California’s asset test was eliminated beginning on January 1, 2024, but California Governor Gavin Newsom has proposed reintroducing the asset test (see Karen Garcia, “Gov. Newsom Proposes ‘Asset Test’ for Low-Income and Disabled Medi-Cal Applicants. What Does That Mean?” *Los Angeles Times*, May 30, 2025). We assume that all states, including California, have asset tests.

Table A.1. Information Used to Calculate Medicaid and SSI Spending Changes

Factor	Value	Source
Medicaid dual-eligible costs	\$114.2 Billion	<i>Data Book: Beneficiaries Dually Eligible for Medicare and Medicaid</i> ^a
Median cost	\$19,078	"Medicaid and CHIP 2024 Scorecard" ^b
First quartile	\$14,397	"Medicaid and CHIP 2024 Scorecard"
Medicaid dual-eligible population	7.2 Million	"Seniors & Medicare and Medicaid Enrollees" ^c
SSI elderly costs	\$6,386 Billion	"Table IV.C2.—SSI Federal Payments in Current Dollars Fiscal Years 1978–2024" in <i>2024 SSI Annual Report</i> ^d
65–74 years olds	\$2,128 Billion	"Table IV.C2.—SSI Federal Payments in Current Dollars Fiscal Years 1978–2024" in <i>2024 SSI Annual Report</i>
75+	\$4,259 Billion	"Table IV.C2.—SSI Federal Payments in Current Dollars Fiscal Years 1978–2024" in <i>2024 SSI Annual Report</i>
SSI elderly population	2,470 Million	"Monthly Statistical Snapshot, January 2025" ^e

^a Medicare Payment Advisory Commission and Medicaid and CHIP Payment and Access Commission, *Data Book: Beneficiaries Dually Eligible for Medicare and Medicaid*, January 2024.

^b Centers for Medicare and Medicaid Services, "Medicaid and CHIP 2024 Scorecard," webpage, undated-a.

^c Centers for Medicare and Medicaid Services, undated-b.

^d Social Security Administration, "Table IV.C2.—SSI Federal Payments in Current Dollars Fiscal Years 1978–2024," webpage, undated-b.

^e Social Security Administration, "Monthly Statistical Snapshot: June 2025," webpage, July 2025b.

Simulation Design

The simulation steps through time in one-year intervals, updating individual earnings, employment status (i.e., employed or not employed), the median income, and rates of return based on the data described above. This appendix describes how each key factor evolves over time.

Because the data are limited to the 1999–present period, in order to produce 40-year estimate some years are included multiple times in any given iteration. We select a start year and then advance through time until we reach 2024. We pull the growth characteristics from 1999 and advance from there until we have 40 years of income paths. We run the model 1,200 times (so that each year serves as the starting year 50 times) and average the key model outputs to produce an expected set of results.

For income, we initialize the model with the income distribution from the 2024 CPS for each five-year cohort (20–24, 25–29, 30–34, 35–39, 40–44, 45–49, 50–54, and 55–59). Income is updated by age cohort and decile using the CPS data described above. Because the median income determines the characteristics of the matching, we track that rate separately. We begin with the 2024 national median and update that based on the growth of the national median income from the CPS data for the relevant year. Thus, we assume that subsequent generations are distributionally identical to the generation of 20- to 24-year-olds and evolve along the same track.

We then randomly select records to become unemployed from the transition to unemployment based on the overall unemployment rate for that year modified by the transition rate to unemployment by decile (i.e., that people at the top of the income distribution are less likely to have a spell of unemployment than people at the bottom of the distribution in the next period). For unemployed

records, we assign a duration of unemployment level by decile using data from the CPS. Workers who are unemployed see their annual income decline proportionally to the share of the year they are unemployed. Upon return to the workforce, the worker receives their pre-unemployment income.

The contributions, in the baseline case, are estimated to be 3 percent of income, and the federal match is 3 percent of income, with a phase-out of contributions for those above the median. We estimate the assets by summing the contributions, the matching contribution, and the prior year's asset value, accounting for growth in asset prices using the S&P 500 rates of return for the given year. This provides the assets for someone who participated in the program. To estimate the cost for the program, we apply the eligibility rates as shown in Figure 1 so that we only include the matching costs for those who are eligible to participate in the program.

Appendix B. Sensitivity

In addition to the primary analysis discussed in the body of the study, we conducted sensitivity tests of the findings to key parameters. In particular, we provide a more nuanced analysis of crowd out where we assume a 10-, 20-, or 30-percent crowd-out effect (see columns 1 to 3 in Table B.1.) For each 10-percent increase in crowd out costs increase by approximately \$34 billion over ten years, or \$231 billion over 40 years. Overall cost savings change negligibly owing to the fact that many of the workers whose employers dropped plans are not likely to be SSI or Medicaid eligible. Our final calculation in column 4, Table B.1. estimates how much drawdown would have to occur for the plan to “break even” at the end of 40 years. If plan participants withdrew 72 percent of their retirement savings prior to retirement (recall they only have access to the portion they contributed to, not the government contributions), then the plan would have a zero net cost and savings at the end of 40 years.

Table B.1. Effects of the RSAA on Spending (in Billions \$)

Output	Low Crowd-Out	Mid Crowd-Out	High Crowd-Out	Threshold Spend-Down
Firms drop current retirement plans	10%	20%	30%	0%
Individual contribution rate	3%	3%	3%	3%
Individuals withdraw funds before retirement	0%	0%	0%	72%
10-year estimates				
Federal contribution costs	\$346	\$385	\$424	\$267
Interest costs	\$30	\$33	\$36	\$24
Total costs	\$376	\$418	\$460	\$291
Additional tax revenue	(\$17)	(\$25)	(\$33)	\$0
Medicaid for seniors ^a	(\$16)	(\$16)	(\$16)	(\$9)
SSI	(\$2)	(\$2)	(\$2)	(\$1)
Net cost	\$342	\$376	\$410	\$282
40-year estimates				
Federal contribution costs	\$1,758	\$1,953	\$2,148	\$1,368
Interest costs	\$201	\$237	\$274	\$127
Total costs	\$1,959	\$2,190	\$2,422	\$1,495
Additional tax revenue	(\$82)	(\$123)	(\$164)	\$0
Medicaid for seniors ^a	(\$3,346)	(\$3,363)	(\$3,379)	(\$1,331)
SSI	(\$280)	(\$281)	(\$283)	(\$164)
Net cost	(\$1,749)	(\$1,577)	(\$1,404)	\$0

NOTE: Dollar values are all in nominal 2024 dollars. Parentheses indicate negative numbers.

^a Medicaid costs are split between the federal government and state governments based on the FMAP. Thus, a portion of the savings would accrue to state governments and not the federal government.

In addition to these scenarios, we tested a range of potential spend-down rates to determine how that would affect the degree to which RSAA would cover its costs through reduced reliance on Medicaid and SSI. Because the empirical literature on Medicaid spend-down does not offer a consistent estimate or prevalence, our baseline rate of \$10,000 per month does not have a strong justification.³⁹ Consequently, we tested spend-downs of \$5,000, \$15,000, and \$20,000, as seen in Table B.2. These scenarios differ from the threshold spend-down in Table B.1 because these scenarios are the spend-down rate in retirement, while Table B.1 is the spend-down prior to retirement.

Table B.2. Different Spend-Down Rates for Low-Asset Individuals (in Billions \$)

	Baseline RSAA	50% Slower Spend-Down Rate	50% Faster Spend-Down Rate	100% Faster Spend-Down Rate
Spend-down rate per year	\$10,000	\$5,000	\$15,000	\$20,000
Firms drop current retirement plans	0%	0%	0%	0%
Individual contribution rate	3%	3%	3%	3%
Individuals withdraw funds before retirement	0%	0%	0%	0%
10-year estimates				
Federal contribution costs	\$267	\$267	\$267	\$267
Interest costs	\$24	\$24	\$25	\$26
Total costs	\$291	\$291	\$292	\$293
Medicaid for seniors ^a	(\$16)	(\$23)	(\$17)	(\$7)
SSI	(\$2)	(\$3)	(\$2)	(\$1)
Net cost	\$274	\$265	\$273	\$285
40-year estimates				
Federal contribution costs	\$1,368	\$1,368	\$1,368	\$1,368
Interest costs	\$127	\$113	\$303	\$381
Total costs	\$1,495	\$1,481	\$1,671	\$1,749
Medicaid for seniors ^a	(\$3,313)	(\$4,968)	(\$1,656)	(\$1,242)
SSI	(\$277)	(\$415)	(\$138)	(\$104)
Net cost	(\$2,095)	(\$3,902)	(\$123)	\$403

NOTE: Dollar values are all in nominal 2024 dollars. Totals may not sum due to rounding.

Parentheses indicate negative numbers.

^a Medicaid costs are split between the federal government and state governments based on the FMAP. Thus, a portion of the savings would accrue to state governments and not the federal government.

³⁹ Joshua M. Wiener, Wayne L. Anderson, Galina Khatutsky, Yevgeniya Kaganova, and Janet O’Keeffe, *Medicaid Spend Down: New Estimates and Implications for Long-Term Services and Supports Financing Reform*, SCAN Foundation, 2013; Edward C. Norton, “Elderly Assets, Medicaid Policy, and Spend-Down in Nursing Homes,” *Review of Income and Wealth*, Vol. 41, No. 3, September 1995.

On a ten-year timeline, the difference in spend-down rate does not substantially change the total net cost. However, over 40 years, the 50-percent slower spend-down scenario would result in nearly double the amount saved compared with the baseline, the 50-percent faster spend-down scenario would see only \$123 billion in savings, and the 100-percent faster spend-down scenario would have a net cost of \$403 billion.

It is challenging to determine a reasonable expected spend-down rate, but we can describe why \$5,000 might be a reasonable lower bound. We note that the federal poverty level for an individual living in the 48 contiguous states or the District of Columbia for 2025 is \$15,650.⁴⁰ The minimum Social Security payment for an individual who worked for at least 30 years is currently \$1,093.10 per month or \$13,117.20 per year.⁴¹ Consequently, the gap between the minimum Social Security benefit and a poverty-level of consumption for a single-person household is approximately \$2,500 per year. If the household spent down at double this rate, we arrive at our 50-percent slower spend-down scenario above. This seems like a plausible lower bound on the average spend-down rate for the population who would otherwise be eligible for Medicaid, but there is substantial uncertainty in the range.

Finally, while there is not a well-established asset spend-down rate in the empirical literature, we can assess whether the savings from the dual-eligible population are plausible by comparing those savings with our forecast of the total Medicaid spending for the dual-eligible elderly population. The baseline scenario would result in roughly a 30-percent reduction in Medicaid spending in 2065. Although quite high, it seems plausible that, given the magnitude of the spending in RSAA paired with decades of time in the market, the baseline scenario would delay Medicaid enrollment among most participants by several years and result in savings of this order of magnitude.

⁴⁰ Office of the Assistant Secretary for Planning and Evaluation, “Poverty Guidelines,” webpage, U.S. Department of Health and Human Services, undated.

⁴¹ Social Security Administration, “Automatic Increases: Special Minimum Benefits,” webpage, July 2025a.

Appendix C. Difficult-to-Quantify Costs and Benefits

Throughout the analysis in Appendix B, we focus on the asset tests for SSI and Medicaid. By counting the number of years of delayed access to SSI and Medicaid, we use those years as cost savings for the RSAA. Similarly, SNAP benefits have asset tests, and we could have also included those as part of the offset calculus. We did not do this because there are considerable state differences in permissible asset levels for eligibility. Additionally, SNAP rules preclude using retirement savings as assets.

Apart from policies that have asset tests there is reason to believe that households with retirement savings may rely on that income instead of other transfer programs. In cases where applications are burdensome or delays are lengthy, RSAA account holders may opt to use their savings instead of applying for public benefits. These include unemployment insurance, home energy/heating assistance, housing assistance, Women, Infants, and Children (WIC) program benefits, SNAP, TANF and other food and income security programs. Although the lowest-earning RSAA recipients will not have sufficient savings to stave off significant financial and economic disruptions, many of them will.

In addition to the potential for reduced reliance on government transfer programs, there are other improved outcomes related to having emergency savings. According to Bankrate, as of January 2025, only 41 percent would choose to pay for a \$1,000 emergency expense out of savings, while most would pay by using a credit card or loan, or having to ask to borrow money from someone they know.⁴² Consequently, an emergency room visit, auto repair, accident, or other unexpected expenses can both derail families financially and may also create a downward spiral of job loss due to not having reliable transportation or being physically unfit for work.⁴³

Finally, there are several psychological effects of not having sufficient precautionary savings: increased anxiety, feelings of helplessness, lower self-esteem, depression, avoidance behavior, and increased risk-taking behavior. These psychological effects can be profound and far-reaching, impacting mental health, relationships, and overall life satisfaction.⁴⁴ Importantly, in a 2014 report, authors show that there can be important feedback loops between poverty and psychological outcomes such as stress.⁴⁵

In addition to the potential positive impacts of increased savings on individuals' budgets and quality of life, there are potential negative impacts. The bill is quite expensive and requires borrowing for many years until other social program use declines and the net benefits of the RSAA begin. These

⁴² Lane Gillespie, *Bankrate's 2025 Annual Emergency Savings Report*, Bankrate, June 26, 2025.

⁴³ For a discussion of this extensive literature on the lack of emergency spending capacity, see Annamaria Lusardi, Daniel J. Schneider, and Peter Tufano, *Financially Fragile Households: Evidence and Implications*, National Bureau of Economic Research, Working Paper 17072, May 2011.

⁴⁴ See, for example, Stephen Brobeck, *Understanding the Emergency Savings Needs of Low-and Moderate-Income Households: A Survey-Based Analysis of Impacts, Causes, and Remedies*, Consumer Federation of America, November 2008; and Johannes Haushofer and Ernst Fehr, "On the Psychology of Poverty," *Science*, Vol. 344, No. 6186, 2014.

⁴⁵ Haushofer and Fehr, 2014.

borrowing costs are not trivial given the current debt and budget deficit. These may have large unintended consequences on the United States' ability to borrow, or this additional borrowing may raise interest rates. Secondly, the issue of crowd out is very important with some analysts believing that it is likely to be significant over the long term and may result in a worse retirement system for those who currently have an employer-sponsored plan. Additionally, reducing incomes for one-quarter of the population by 3 percent could reduce consumption and slow the economy.

Appendix D. Revision History

This appendix describes the changes that have been made to this document between revisions to this analysis. This report was originally published as a working paper in March 2025.

Table D.1. Change Log

Modification Number	Date	Change Log
2.0	April 28, 2025	• Corrected an error in the federal matching contributions to include the initial 1-percent match. • Included tax revenue associated with firms that drop their retirement plans. • Updated baseline to account for changes to Section 4 of the bill and moved content around Section 4 excursions to the body of the document. • Added different crowd out scenarios and an appendix detailing crowd-out ranges. • Added sensitivity testing related around the rate of spending-down retirement assets in retirement. • Corrected typos and added clarifying language throughout.

Abbreviations

ACP	actual contribution percentage
ADP	actual deferral percentage
CPS	Current Population Survey
DC	defined contribution
EITC	Earned Income Tax Credit
ERISA	Employee Retirement Income Security Act
FMAP	Federal Medical Assistance Percentage
HCA	highly compensated employees
IRA	individual retirement account
MC	Monte Carlo
NHCA	non-highly compensated employees
RSAA	Retirement Savings for Americans Act
SNAP	Supplemental Nutrition Assistance Program
SSI	Supplemental Security Income
TANF	Temporary Assistance for Needy Families (program)
WIC	Women, Infants, Children (program)

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